

Kiss Your Assets Goodbye When Certainty Reigns

“*T*^{HE MARKETS HATE *uncertainty*.”}

If you wander anywhere near a television in advance of any election, a Federal Open Market Committee meeting, or the next employment report, it is an unavoidable cliché. It has become the pundits' preferred proverb.

Wall Street has a sweet tooth for such investing maxims. They infect the trading community like influenza in December. Repeat mindless dictums ad nauseam, and soon enough, it becomes accepted wisdom.

The problem with these *truisms* is that they are fabricated and no more useful than the made-up 20% bull or bear market measure. A closer look at this uncertainty meme reveals it to be a *false-ism*—an emotionally appealing phrase that pings around trading desks. The lack of evidence supporting its premise seems to matter very little.

To recognize how meaningless these statements are, consider the opposite: Could markets function without uncertainty? It takes only a little thought to realize that markets actually thrive on doubt, imperfect information, and a lack of consensus.

Uncertainty drives the market's price-discovery mechanism. Investing requires there to be differences of opinion. Without any uncertainty, who would take the opposite side of your trade?

History teaches that whenever the opposite occurs—when certainty overwhelms uncertainty—the herd tends to be wrong. In rare instances, when there is a near-total lack of uncertainty in the market, the outcome is usually a spectacular disaster.

Recall the dotcom era, when certainty ruled. Everyone knew that profits no